BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH

NEW DELHI

Company Petition No.CAA-142(PB)/2018
With

Company Application No.CA (CAA) 06(PB)2017

Judgment dated: 13/05/2019

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

SHREE S.K. MOHAPATRA,

MEMBER (TECHNICAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

1. NIGHTINGALE FINANCE AND LEASING LIMITED

Company registered under the Companies Act, 1956

Having Registered Office at:

1/2873, Loni Road,

Shahdara,

Delhi-110032

..... Demerged Company/Applicant No.1

2. MICRO MANAGEMENT LIMITED

Company registered under the Companies Act, 1956

Having Registered Office at:

1/2873, Ram Nagar Extension

Loni Road, Shahdara,

Delhi-110032

..... Transferor No.1 Company/Applicant No.2

3. STARWOOD CONTRACTS PRIVATE LIMITED

Company registered under the Companies Act, 1956

Having Registered Office at:

Office No. 8, 1st Floor,

DDA Shopping Complex No. 4,

Chitranjan Park, New Delhi-110019

... Transferor No. 2 Company/ Applicant No.3

4. PRANAAM CONSULTANTS PRIVATE LIMITED

Company registered under the Companies Act, 1956

Having Registered Office at:

Unit No. 5D, 5th Floor, Assets Area 4,

Delhi Aerocity Hospitality District,

Near IGI Airport

New Delhi-110037

... Transferor No. 3 Company/Applicant No.4

With

5. BESTECH INDIA PRIVATE LIMITED

Company registered under the Companies Act, 1956

Having Registered Office at:

Unit No. 5D, 5th Floor, Assets Area 4,

Delhi Aerocity Hospitality District,

Near IGI Airport

New Delhi-110037

....Transferee Company/ Applicant No.5

For the Petitioners: Shri Vipul Ganda, Advocate

O R D E R

M.M.KUMAR, PRESIDENT

1. This Joint Application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Arrangement. The copy of the Scheme has been placed on record. the composite Scheme of Arrangement is for:

   i. Demerger of Demerged Undertaking of Applicant Company No. 1 into Applicant Company No. 5; and

   ii. Amalgamation of Applicant Companies 2-4 with Applicant Company No. 5.

iii. Consequent reduction of share capital and Reserves of Applicant Company No. 1 and re-organization thereof.

2. A perusal of the petition that initially the First Motion application seeking directions for convening/dispensing with the meetings of Shareholders and Creditors was filed before this bench and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide its first motion order issued directions with respect to the same. On 08.10.2018 the Petitioners were directed to carry out publication in the newspapers English Daily 'Financial Express'(Delhi Edition) as well as in Hindi Daily 'Jansatta' (Delhi Edition). In addition thereto notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

3. It is seen from the records that the Petitioners have filed an affidavit affirming compliance of the order passed by the Tribunal dated 08.10.2018. A perusal of the Affidavit discloses that the petitioners have effected the newspaper publication as directed in English Daily 'Financial Express' (Delhi Edition) as well as in Hindi Daily 'Jansatta' on 23.11.2018 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition were duly served on the

Regional Director, Northern Region, Registrar of Companies, Delhi and Haryana, Official Liquidator and Income Tax Department in compliance of the order and in proof of the same acknowledgement by the respective offices have also been place on record.

4. The Regional Director has filed its representation and has observed that firstly, the companies are to comply with Sections 232(3)(i) and 233(11) read with 233(12) of the Companies Act, 2013. Second, the Regional Director has observed that the certificates of the Statutory Auditors with regard to conformity to the Accounting Treatment have not been found attached with the petition.

5. The petitioner companies have filed a rejoinder affidavit wherein first, they have undertaken to comply with Sections 232(3)(i) and 233(11) read with 233(12) of the Companies Act, 2013 with regard to differential fee payable on its revised authorized share capital, if any, after the set-off of the fee already paid by the Transferor Companies on its authorized share capital. Secondly, the Petitioner Companies have submitted that the certificate of statutory auditors with regard to all the Petitioner Companies is already on record.

6. The Official Liquidator has filed a report on 31.12.2018 wherein it has been stated that he has not received any compliant against the proposed Scheme from any person/party interested in the scheme in any manner

and that the affairs of the Petitioner Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public interest.

7. It is pertinent to note that despite various opportunities given to the Income Tax Department no report has been filed on their behalf. Therefore, it is assumed that the income tax has no objection.

8. In the joint petition it has also been affirmed that no proceedings for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 are pending against the Petitioner Companies.

9. Certificates of respective Statutory auditors of the both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Arrangement is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

10. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner Companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs, the reports of official Liquidator and Reports of Income Tax Department, there appears to be no

impediment in sanctioning the present scheme. Consequently, sanction is hereby granted to the scheme under section 230 to 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

11. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

While approving the Scheme as above, we further clarify that this order should not be construed as an order in any granting exemption from payment of stamp duty, taxes including income tax, GST etc or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

12. THIS TRIBUNAL DO FURTHER ORDER(S):

(A) WITH RESPECT TO DEMRGED COMPANY AND TRANSFEREE COMPANY

1. All property, rights and powers of Demerged Undertaking be transferred without further act or deed, to the Transferee Company i.e. Applicant No.5 and accordingly the same shall pursuant to Section 232 of the Act,

be transferred to and vested in the Transferee Applicant Company No.5 for all intents, purposes and interests of the Demerged Undertaking subject nevertheless to all changes now affecting the same and;

2. All the liabilities (if any) and duties of Demerged Undertaking be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company; and
3. Any proceedings pending by or against Demerged Undertaking be continued by or against the Transferee Company.

(B) WITH RESPECT TO APPLICANT COMPANIES NO. 2-4/TRANSFEROR COMPANIES NO. 1-3 AND APPLICANT COMPANY NO. 5/ TRANSFEREE COMPANY

1. The Transferor Companies stand dissolved without being wound up; and

2. All the property, rights and powers of all the Transferor Companies be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estates

and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

3. All the liabilities and duties of the Transferor Companies be transferred without further act or deed, to Transferee Company and accordingly the same shall, pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company.

4. All proceedings now pending by or against the Transferor Companies by continued by or against the Transferee Company; and

5. All the employees of the Transferor Companies in Service, if any, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the Transferee Company on such date without any break or interruption in service and upon terms and conditions not less favourable than those subsisting in concerned Transferor Companies on the said date.

6. That Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered the Transferor Companies shall be dissolved and the Registrar of Companies shall place all documents relating to

the Transferor Companies registered with him on the file kept by him in relation to the Transferee Company and the files relating to all the petitioner companies shall be consolidated accordingly.

Any person interested shall be at liberty to apply to the tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

(M.M. KUMAR)
PRESIDENT

Sd/-

(S.K. MOHAPATRA)
MEMBER(T)

(vidya)

13/05/2019